

SM-6
(Dollars in Millions)

War Reserve Material
Air Force Working Capital Fund
Supply Management Activity Group - Retail

Fiscal Year (FY) 2025
Budget Estimates
February 2024

Supply Management Activity Group - Retail

FY2025

STOCKPILE STATUS	Total	WRM Protected	WRM Other
1. Inventory BOP @ std	885.508	885.508	.000
2. Price Change	.000	.000	.000
3. Reclassification	.000	.000	.000
4. Inventory Changes	20.269	20.269	.000
a. Receipts @ std	87.063	87.063	.000
(1). Purchases	86.874	86.874	.000
(2). Returns from customers	.189	.189	.000
b. Issues @ std	(25.963)	(25.963)	.000
(1). Sales	(15.000)	(15.000)	.000
(2). Returns to suppliers	(.006)	(.006)	.000
(3). Disposals	(10.957)	(10.957)	.000
c. Adjustments @ std	(40.831)	(40.831)	.000
(1). Capitalizations	1.235	1.235	.000
(2). Gains and losses	3.709	3.709	.000
(3). Other	(45.775)	(45.775)	.000
Inventory EOP	905.776	905.776	.000

STOCKPILE COSTS

1. Storage	.000
2. Management	.000
3. Maintenance/Other	.000
Total Cost	.000

WRM BUDGET REQUEST

1. Obligations @ cost	
a. Additional WRM Investment	
i. Current Year (Direct Appropriation)	86.874
ii. Prior Year	.000
b. Replen/Repair WRM -Reinvest (from Prior Year WRM Sales)	15.000
c. Stock Rotation/Obsolescence	.000
d. Assemble/Disassemble	.000
e. Other	.000
Total Request	101.874

SM-6 Supply Management Activity Group - Retail

***AIR FORCE
WORKING CAPITAL FUND***



U.S. AIR FORCE

UNITED STATES

TRANSPORTATION COMMAND

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United States Transportation Command Transportation Working Capital Fund Fiscal Year (FY) 2025 Budget Analysis

Background

This submission provides justification for the United States Transportation Command (USTRANSCOM) Transportation Working Capital Fund (TWCF) budget. USTRANSCOM submits the TWCF budget as a distinct subset of the Air Force Working Capital Fund (AFWCF) budget submission. It reflects the cost authority needed to meet USTRANSCOM's Unified Command Plan (UCP) mission. With global responsibilities and capabilities that transcend air, land, and sea, USTRANSCOM is uniquely postured to fulfill six specific responsibilities within the current UCP that include: 1) the Mobility Joint Force Provider, 2) the Department of Defense (DoD's) Single Manager for Transportation, 3) the Joint Deployment and Distribution Coordinator (JDDC) for the Joint Deployment and Distribution Enterprise (JDDE), 4) the DoD's Single Manager for Patient Movement, 5) the provider for Joint Enabling Capabilities via the Joint Enabling Capabilities Command (JECC) (JECC is not part of the Working Capital Fund), and 6) the DoD's Single Manager for Global Bulk Fuel Management and Delivery.

USTRANSCOM and the broader JDDE are designed to project and sustain combat power at a time and place of the Nation's choosing. The success of DoD's power projection capability is contingent on three critical elements of USTRANSCOM's organizational warfighting framework: (1) Global Mobility Posture, the foundation of power projection; (2) Global Mobility Capacity, the conveyances and platforms that move troops, supplies, fuel, and equipment through global transportation networks; and (3) Global Command, Control, and Integration, the exercise of authority and direction to plan, coordinate, synchronize, and control operations at echelon.

From day-to-day operations through wartime mobilization, commercial nodes, rail infrastructure, trucks, aviation, and sealift capabilities are integral to USTRANSCOM's ability to respond and scale to need. The National Defense Strategy (NDS) details the Department's path forward into a decisive decade – from helping to protect the American people, to promoting global security, to seizing new strategic opportunities, and realizing and defending our democratic values.

The Nation relies on USTRANSCOM to project an immediate and decisive force when needed and continues to adapt to the most complex security environment in recent history. USTRANSCOM provides our Nation's leaders with various options while presenting multiple offensive alternatives to thwart potential adversarial activities.

Composition of Component Business Areas

USTRANSCOM's mission includes providing air, land, and sea transportation for the DoD with a primary focus on wartime readiness. Our \$9.6 billion budget provides synchronized transportation and sustainment, making it possible to project and maintain national power where needed, with the greatest speed and agility, the highest efficiency, and the most reliable level of trust and accuracy. Our assigned UCP tasks are executed through three component commands U.S. Army's Military Surface Deployment and Distribution Command (SDDC), U.S. Navy's Military Sealift Command (MSC), and U.S. Air Force's Air Mobility Command (AMC) and one major subordinate command (JECC). This joint team of transportation components provides mobility forces and assets for a seamless transition from peace to war. USTRANSCOM is always ready to meet the strategic mobility needs of our nation. A brief description of the role of each Transportation Component Command follows:

AMC is the single manager for air mobility by providing strategic airlift, air refueling, special air mission, and aeromedical evacuation for U.S. forces. AMC also supplies forces to theater commands to support wartime tasking.

MSC supports our nation by providing maritime transportation to satisfy DoD sealift requirements, which includes delivering supplies and conducting specialized missions across the world's oceans.

SDDC provides global surface deployment and distribution services to meet the nation's objectives.

Our Component Commands provide the critical link to the Services' core competencies in organizing, training, and equipping forces. They provide lines of communication to the Services, ensuring assets are available when needed for the transition from peace to war. The surge from peacetime sustainment to a massive deployment of people and material in support of overseas operations is an example of our ability to execute our mission. Our successes result from the synergy of military and commercial lift (air, land, and sea), air refueling, port operations, and afloat prepositioning. Together with its components and national partners, USTRANSCOM is building a truly seamless, end-to-end defense transportation enterprise.

Despite concerted efforts to improve financial transparency and reporting, USTRANSCOM has received six audit disclaimers of opinion. During fiscal year 2023, USTRANSCOM conducted an end to end review of TWCF and accounting operations to understand issues impacting remediation efforts. This analysis lead to a revised audit strategy across USTRANSCOM and the components.

Global Bulk Fuel Management and Delivery (GBFMD) - Section 352, FY2022, National Defense Authorization Act (NDAA) designated USTRANSCOM as the element responsible for bulk fuel management and delivery of the (DoD) on a global basis, beginning on 1 February 2023 and costs are incorporated in this submission.

USTRANSCOM is committed to improving the relocation process for military members and families. In support of the DoD reform initiative, USTRANSCOM transitioned the Defense Personal Property Program (DP3) to a centralized acquisition approach with a single move manager. By transitioning to a single move manager, Global Household Goods Contract (GHC) fundamentally restructures DoD's relationship with the household goods moving industry to deliver the quality that service members, DoD employees, and their families deserve, and the accountability that Congress demanded.

Capital funding continues to support system enhancements and upgrades to embrace USTRANSCOM's role as a global Combatant Command delivering national objectives in tomorrow's dynamic security environment. USTRANSCOM challenges its assumptions, accurately forecasts trends that will define the future operating environment and develops the technologies and ideas that maintain our Nation's competitive advantage in transportation and logistics. Cyber resiliency and digital modernization initiatives will remain a top priority for the command. We continue to modernize our IT systems by not only taking advantage of cloud computing services but also through advancing our ability to manage data as a strategic asset to advance decision making at all levels.